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Accounting and Financial Literacy
Level: Beginner to Intermediate • Rev. 2026

Demystifying Profit: Revenue, Gross, Operating, and Net Profit Margins

Summary: Never confuse top-line turnover with actual wealth creation. Master the four tiers of profit, calculate operating margins, and distinguish markup from margin.

Learning Objectives

- Distinguish Revenue from Gross, Operating, and Net Profit.
- Compute Cost of Goods Sold (COGS) and Operating Expenses (OPEX).
- Calculate profit margins versus markups without mathematical error.
- Analyze a multi-step Income Statement with practical African business metrics.

Core Principles & Key Takeaways

- Revenue is vanity, profit is sanity, cash flow is reality.
- Gross margin measures manufacturing and fulfillment efficiency.
- Operating margin measures operational leverage and overhead control.
- Markup is calculated on cost; margin is calculated on selling price.

1. The Four Tiers of the Income Statement

A commercial organization records earnings across four distinct tiers:

1. **Gross Revenue (Top Line):** Total invoice value or cash received from goods sold and services delivered before any deductions.
2. **Gross Profit:** Revenue minus direct Cost of Goods Sold (COGS). Measures production efficiency and product unit margins.
3. **Operating Profit (EBIT):** Gross Profit minus operational expenditures (OPEX) such as administrative salaries, rent, software, and marketing. Measures core business profitability.
4. **Net Profit (The Bottom Line):** Operating Profit minus finance expenses (interest on debt), foreign exchange losses, and corporate income taxes. Represents the actual profit belonging to equity owners.

2. The Mathematical Formulas

$$\text{Gross Profit} = \text{Revenue} - \text{COGS}$$
$$\text{Gross Margin} = \left(\frac{\text{Gross Profit}}{\text{Revenue}} \right) \times 100\%$$

$$\text{Operating Profit (EBIT)} = \text{Gross Profit} - \text{Operating Expenses (OPEX)}$$
$$\text{Operating Margin} = \left(\frac{\text{Operating Profit}}{\text{Revenue}} \right) \times 100\%$$

$$\text{Net Profit} = \text{Operating Profit} - \text{Interest} - \text{Taxes} - \text{Extraordinary Losses}$$
$$\text{Net Margin} = \left(\frac{\text{Net Profit}}{\text{Revenue}} \right) \times 100\%$$

3. Markup vs. Margin: The Critical Distinction

Confusing **Markup** with **Margin** is one of the most fatal financial blunders made by growing SME operators:

* **Markup:** The percentage added directly to the Cost of Goods Sold to arrive at the selling price:
$$\text{Markup} = \frac{\text{Selling Price} - \text{Cost}}{\text{Cost}} \times 100\%$$

* **Margin:** The percentage of the final selling price that remains as profit:
$$\text{Margin} = \frac{\text{Selling Price} - \text{Cost}}{\text{Selling Price}} \times 100\%$$

Worked Comparison:
If you buy an item for ₦6,000 and sell it for ₦10,000:
* Profit = ₦4,000
* $\text{Markup} = \frac{4,000}{6,000} = 66.67\%$
* $\text{Margin} = \frac{4,000}{10,000} = 40.00\%$

Warning: A 50% markup is NOT a 50% margin. If your retail cost is ₦1,000 with a 50% markup, you sell at ₦1,500. Your margin is $\frac{500}{1,500} = 33.3\%$. If overheads are 40% of sales, you are losing money on every unit!

4. Complete Worked Multi-Step Financial Statement

Case Study: Apex Manufacturing Ltd (Kaduna & Abuja)

Income Statement Line Item	Amount (₦)	% of Revenue
Gross Revenue	**₦50,000,000**	**100.0%**
Less: Direct Raw Materials & Labor (COGS)	(₦28,000,000)	56.0%
Gross Profit	**₦22,000,000**	**44.0%**
Less: Sales & Marketing	(₦5,000,000)	10.0%
Less: Office Rent, Generator Fuel & Utilities	(₦4,200,000)	8.4%
Less: Administrative & Tech Salaries	(₦6,000,000)	12.0%
Operating Profit (EBIT)	**₦6,800,000**	**13.6%**
Less: Bank Loan Interest (18% on overdraft)	(₦1,200,000)	2.4%
Profit Before Tax (PBT)	₦5,600,000	11.2%
Less: Company Income Tax (CIT at 30%)	(₦1,680,000)	3.36%
Net Profit After Tax (PAT)	**₦3,920,000**	**7.84%**

Takeaway: Despite generating ₦50M in sales, the business retains ₦3.92M (7.84%) in net distributable cash.

Self-Assessment & Review Questions

Q1: A merchant buys a gadget for ₦15,000 and sells it for ₦20,000. What is the merchant's gross profit margin?

A. 33.3%
B. 25.0%
C. 20.0%
D. 50.0%

Correct Answer: B • Gross profit = ₦20,000 - ₦15,000 = ₦5,000. Gross Margin = (₦5,000 / ₦20,000) * 100% = 25.0%. (The markup on cost is 33.3%).

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